When IT Failure Creates Value: Recoverable Disruption in Continuous Feature Innovation[*]

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Abstract

Digital platforms evolve through continuous feature releases into systems knowledge workers already depend on, making innovation and reliability inseparable. Reliability research treats resulting failures as costs offsetting innovation, but this view is incomplete. Using Real User Monitoring traces of 34 million actions from an InsurTech CRM serving insurance agencies, we estimate a causal mediation system in which feature use and IT failure are separately endogenous, each with its own shift-share instrument. Feature use raises conversion. It also raises IT failure. Failure in turn raises conversion, and this indirect pathway is 22% of the total effect. Decomposing failure across five categories of knowledge work shows why. Recoverable internal failures are followed by retry and fast resolution and contribute positively. Customer-facing failures are followed by abandonment and contribute negatively. Recoverability determines whether disruption creates or destroys value.

Keywords: *continuous feature innovation; digital platforms; generative AI; CRM; IT failure; knowledge worker performance*

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Introduction

Digital innovation increasingly occurs not through episodic replacement of information systems, but through the continuous introduction of new features into systems already embedded in organizational work (Nambisan et al., 2017; Yoo et al., 2010). This shift changes an important feature of technology-enabled work. Rather than separating innovation from stable operation, digital platforms introduce new capabilities while users continue to depend on the same systems to perform ongoing tasks. Continuous feature innovation can therefore expand what a digital system enables workers to do while simultaneously altering workflows, creating new interdependencies, and introducing opportunities for IT failure.

This creates a fundamental tension between innovation and reliability. Research on digital innovation emphasizes how new technological capabilities can enable new or improved forms of work. Research on IT reliability, in contrast, generally treats failures as disruptions that interfere with task execution and diminish the value organizations obtain from technology (Addas & Pinsonneault, 2018; Butler & Gray, 2006). At the organizational level, IT failures can destroy market value and impose substantial organizational costs (Bharadwaj et al., 2009; Triche & Walden, 2018). Taken together, these perspectives imply a tradeoff: new features may create value through improved capabilities, but the failures accompanying those features may offset some of those gains.

Yet this expectation overlooks an alternative possibility. Failure does more than interrupt work. It can reveal information that uninterrupted operation does not, disrupt established routines, and prompt users to reconsider how a task is being performed. Research on learning from failure suggests that relatively small failures can generate learning when individuals can respond quickly and when the underlying domain is sufficiently familiar to permit adaptation (Sitkin, 1992). In continuously evolving digital systems, some failures may therefore induce workers to re-engage with a task, retry unsuccessful actions, and adapt their behavior. If so, the failures generated by digital innovation may sometimes transmit rather than dissipate its performance benefits.

We argue that a critical distinction is the recoverability of the work disrupted by IT failure. When failure interrupts internal work that remains available to the worker—for example, entering, updating, or retrieving information—the worker can return to the task, retry the unsuccessful action, and continue. Such failures create disruption, but they do not necessarily eliminate the underlying opportunity to complete the work. By contrast, when failure occurs during externally paced work, such as communicating with a waiting customer, the interrupted interaction may be difficult or impossible to recover. The consequences of IT failure may therefore depend not simply on whether technology fails, but on whether the disrupted work permits recovery. Recoverable failures can create opportunities for re-engagement and adaptation; failures that compromise the underlying task opportunity are more likely to remain costly.

This perspective raises a broader question for research on digital innovation: How do IT failures transmit the performance effects of continuous feature innovation, and when can the disruptions created by those failures enhance rather than diminish performance? Answering this question requires observing more than whether new technology is available or adopted. It requires tracing the pathway from the introduction and use of new features, through the failures workers encounter, to their subsequent behavior and ultimately to measurable performance.

Literature Review

IT Failure and Organizational Value

Research on IT failure has concentrated at the organizational level. Bharadwaj et al. (2009) apply event study methodology to publicly reported IT failures and find reductions in firm market value. Triche and Walden (2018) examine 214 IT failures over eight years and find that a firm's choice of impression management strategy affects its market value, with assertive strategies performing better for implementation failures and defensive strategies performing better for operational failures. Davis et al. (1992) address the interpretation of failure episodes, developing a diagnostic framework on the premise that relevant data must first be identified, collected and organized before the perspectives, actions and events producing a failure can be reconstructed.

Banker et al. (2021) study technical debt accumulated in the CRM systems of 26 firms over eleven years. They report that shortcuts taken during deployment reduce system reliability and can cause disruptions that impair firm performance, and that the same shortcuts allow faster deployment and idiosyncratic functionality that can raise it. They also find that firms in industries with higher clockspeed and higher competitive threat accumulate more technical debt.

Najjar et al. (2022) examine what follows a failure. Applying service-dominant logic to IS incident resolution, they identify responsive handling, supportive communicating and effective resolving as components of a satisfying recovery, and find that user recovery satisfaction depends both on the speed and completeness of the fix and on the effort and fairness conveyed during it. Recovery in their account is a property of the provider's response. The present study uses the term for a property of the interrupted work. In each of these studies the outcome is measured at the level of the firm or the organization, and the failure is observed through public disclosure or through incident records.

IT Interruptions and Individual Performance

A separate body of work examines interruptions at the individual level. Addas and Pinsonneault (2015) develop a taxonomy classifying IT interruptions by the relevance and structure of their

content, validated through log diaries and interviews with professional workers. They report that some IT interruptions have positive effects on individual performance, others have negative effects, and some have both, and they attribute the inconsistent findings of earlier research to the absence of such a distinction. Addas and Pinsonneault (2018) apply this to e-mail interruptions and identify conditions under which a benefit arises.

Weinert et al. (2022) examine repeated exposure. In a laboratory experiment with 100 subjects analysed through a multivariate latent growth model, they find that users may habituate to repeated IT interruption or become sensitized to it, and that the effects of arousal and exhaustion on task performance vary over time. An interruption in these studies is an event that captures attention while the worker is engaged in something else. A failure is the technology not performing when the worker invokes it. The two differ in what the worker was doing when the event occurred and in whether the intended task remains available afterward.

Worker Response and Adaptation

Research on user adaptation examines how workers respond to IT events. Beaudry and Pinsonneault (2005) define user adaptation as the cognitive and behavioural efforts users perform to cope with significant IT events, and derive four adaptation strategies from two appraisals. Primary appraisal concerns the expected consequences of the event. Secondary appraisal concerns the user's assessment of control over the situation. In their model, performance gains arise in the strategies associated with high control.

Elie-Dit-Cosaque and Straub (2011) study the antecedents of perceived behavioural control over IT and find that autonomy, managerial support, reduced work overload and perceived innovativeness with IT together raise it. Pirkkalainen et al. (2019) distinguish deliberate proactive coping from instinctive reactive coping in a survey of 846 employees and find that the two operate differently on IT-enabled productivity. Mattern et al. (2024) combine interviews with heart rate variability data from fifteen high-performing IT professionals and theorize coping portfolios, in which distinct combinations of coping behaviour correspond to distinct strain levels. Rinta-Kahila et al. (2023) trace the opposite condition, showing through a case study of cognitive automation that skill erosion leaves workers unable to respond when the automation fails. These studies measure response through survey instruments, laboratory manipulation, or intensive observation of small samples.

Continuous Feature Innovation and the Origins of Failure

Digital innovation research characterizes digital technologies by their recombinability and continuing evolution (Nambisan et al., 2017; Yoo et al., 2010). Feature-level perspectives examine

how users engage particular capabilities within systems already in use (Karahanna et al., 2019). Tiwana and Safadi (2024) construct a trace dataset from 190 million lines of evolving code across 1,354 systems spanning 25 years and find that systems atrophy as they age, that atrophy increases bugginess and disengages developers, and that increments in modularity slow atrophy but lose potency with age.

Vieira da Vieira da Cunha et al. (2015) study a CRM system through a fifteen-month ethnography of a sales department. They distinguish settings in which work and its electronic representation are tightly coupled, where the system records work automatically, from settings in which the two are loosely coupled, where employees report their own work into the system. Complexity research treats such environments as adaptive systems in which agents adjust through local interaction and the information that interaction returns (Benbya et al., 2020; Nan & Tanriverdi, 2017).

Table 1 codes twenty-five studies from these literatures on a common schema of construct, unit of analysis, mechanism, key assumption, and the distance between the measure used and the phenomenon of interest. Seven studies draw on trace or archival data and measure outcomes at the level of the firm or the system. Seven rely on self-report. Eight are qualitative or conceptual. Two use laboratory or physiological measurement. One combines field data with an objective performance outcome.

Consequences and behaviour have therefore been measured in different places. Studies that observe performance consequences do not observe what workers do. Studies that observe what workers do rely on recall or on settings constructed for the purpose. Whether the performance consequence of a failure depends on the worker's response has not been tested directly.

This study observes the release of new features, the failures those releases generate, the behaviour of workers in the moments following each failure, and the sales outcomes that follow, at a single unit of analysis in one setting.

Methodology

Empirical Setting and Sample

We investigate this question using proprietary data from a leading InsurTech SaaS CRM provider whose platform serves more than 1,000 small and medium independent insurance agencies across the United States.[1] The empirical setting allows us to observe the relationship between continuous digital innovation and work at unusually fine granularity. We combine structured pipeline

[1] Access to the data is governed by a signed non-disclosure agreement with the business provider. The platform collectively manages premiums exceeding $8 billion across diverse property and casualty portfolios; variables that could reveal commercially sensitive scale or operational details are reported after applying confidential scaling and standardization.

records[2] with Real User Monitoring trace data[3] capturing more than 34 million user actions across approximately half a million user sessions and more than four million task initiations by users from January to July 2024. The platform spans over 200 workflow modules and 145,000 interaction configurations, whose interdependencies constitute the compositional complexity of the workflows agents navigate. These data allow us to observe agents' use of newly released features[4], IT failures encountered while performing work, post-failure behavior, and subsequent sales conversion performance at the agent-week level. Variable definitions and the composition of the failure measure across task categories and by cause are reported in Tables 2 to 4.

Econometric Model

Decomposing the total effect of feature use requires sequential ignorability (Imai et al., 2010), and both of its conditions fail here for structurally independent reasons: feature use is a behavioural choice correlated with unobserved time-varying agent-level factors, while IT failure reflects platform-side conditions driven by distinct forces. That independence forecloses single-instrument identification. Dippel et al. (2020) recover mediation effects with one instrument only by assuming treatment and mediator share a common unobserved confounder — precisely what fails here; when the endogeneity sources differ, each endogenous variable requires its own instrument (Celli, 2022; Frölich & Huber, 2017). We therefore estimate a linear structural system.

$$M_{it} = \beta^0 + \beta^1 T_{,it} + \gamma' C_{it} + \alpha_i + \tau_t + \upsilon_{it} \tag{1}$$

$$Y_{it} = \delta^0 + \delta_{X_1} T_{,it} + \delta_M M_{it} + \gamma' C_{it} + \alpha_i + \tau_t + \varepsilon_{it} \tag{2}$$

CRM feature use ($T_{,it}$) and IT failure (M_{it}) are the endogenous variables, each with a dedicated instrument; GenAI use enters both equations as a covariate along with a rich set of controls. Both equations are estimated by 2SLS with standard errors clustered at the agent level (full estimates for both equations appear in Table 5). Because the ACME is a product of coefficients, its sampling distribution is skewed, and the Sobel (1982) normal approximation yields low power and unbalanced

[2] A dealcard is a centralized record serving as the core unit of analysis for agents and CRM system developers, functioning as a data repository for each sales opportunity — capturing customer details, product type, pricing, and process updates as the deal progresses through the pipeline. The acquisition pipeline averages 312,000 dealcard records over the study period.

[3] Trace data consist of timestamped records of user actions within the system, capturing behaviours such as logging in or out, page views, and button clicks. Over the study window the trace comprises over 34 million action events across approximately half a million user sessions and over 4 million task initiations, each a single invocation of a platform feature to deliver a defined functional capability.

[4] The CRM features examined were identified through systematic sampling in consultation with the platform, selecting features most relevant to the sales agent; specific counts and release dates are withheld under the NDA.

confidence limits (Fritz & MacKinnon, 2007; MacKinnon et al., 2004). Inference therefore relies on a cluster bootstrap resampling agents, re-estimating both equations within each replicate so that the correlation between paths propagates; bias-corrected 95% intervals are the inferential criterion.

Identification Strategy

CRM feature use and IT failure are treated as separate endogenous variables, each identified using a dedicated shift-share instrument. (Borusyak et al., 2022).[5] For CRM feature use, the shock is the cumulative stock of platform-controlled feature releases active in a domain by a given week. For IT failure, the shock is the leave-one-agency-out sum of system errors recorded in a domain-week — realized platform-wide error conditions, propagated to the focal agent through the same predetermined exposure pattern. Identification is attributed to quasi-random variation in the shocks, with exposure shares permitted to be endogenous. Release timing follows vendor product decisions rather than any agent's sales trajectory, and other agencies' error incidence reaches the focal agent only through shared platform infrastructure — so each instrument affects performance only through its own endogenous variable.[6] Underidentification and weak-instrument diagnostics for both first stages are reported in Table 5.

Results

Our findings reveal a counterintuitive pathway through which continuous feature innovation affects knowledge-worker performance. Greater use of newly released CRM features causally increases sales conversion performance. At the same time, feature use causally increases IT failure. Rather than uniformly diminishing performance, however, IT failure itself has a positive aggregate effect on conversion (Table 5). The indirect pathway through IT failure accounts for approximately 22 percent of the total effect of new feature use on performance (Table 6). Thus, the direct and indirect pathways complement rather than offset one another: feature innovation improves performance both through the capabilities it provides and, unexpectedly, through the failures it generates.

[5]Formally, $Z_{it} = \sum_k s_{ik,t-1} \cdot g_{kt}$, where k indexes the platform's CRM workflow domains and $s_{ik,t-1}$ is agent i's lagged share of workflow engagement attributable to domain k — constructed from prior-period click activity, normalized so that $\sum_k s_{ik,t-1} = 1$, and predetermined relative to the contemporaneous shock g_{kt}.

[6]Platform-controlled deployments expand available functionality but do not themselves generate sales outcomes; performance is affected only insofar as agents engage with the released features, which is what the use measure captures, and deployment decisions respond to product-development priorities rather than individual sales trajectories. Error incidence among agents in other agencies reflects platform-level infrastructure conditions in shared workflow domains; these conditions propagate to the focal agent through shared system exposure, raising failure probability in the agent's own tasks, while having no direct bearing on that agent's sales outcomes. The leave-one-agency-out construction removes within-agency channels — correlated performance shocks or resource-sharing arrangements — through which neighbouring error incidence could otherwise reach the focal agent's outcomes by a route other than failure.

We conduct additional analyses to understand this surprising result. A decomposition of IT failure across five categories of knowledge work reveals substantial heterogeneity. Failures involving recording activities make the largest positive contribution to the aggregate failure effect, whereas failures involving customer-facing communication make the largest negative contribution (Figure 1). Because this decomposition is descriptive rather than causal, we use detailed trace data to examine workers' behavior following different forms of failure. The resulting patterns are consistent with a recoverability mechanism (Table 7). Failures affecting internal work are followed by greater retry, rapid reload, and faster resolution. Customer-facing failures, by contrast, are followed by rerouting, abandonment, and greater deviation from workers' established routines. Workers persist through failures when the underlying work permits recovery but disengage or redirect their effort when it does not.

Contributions to Research

Our findings contribute to research on digital innovation, IT reliability and failure, and the mechanisms through which technology use affects performance.

Continuous Feature Innovation: Capability and Disruption as Joint Pathways.

First, we extend research on digital innovation by showing that the performance consequences of continuous feature innovation cannot be understood solely through the capabilities that new features provide. Digital innovation research emphasizes the recombinability and continuing evolution of digital technologies (Nambisan et al., 2017; Yoo et al., 2010), while feature-level perspectives direct attention to how users engage particular technological capabilities within established systems (Karahanna et al., 2019). Our findings show that continuous feature innovation has another consequential property: new functionality is introduced into a production environment in which workers are already dependent on the system. Innovation can therefore simultaneously expand capability and generate operational instability.

This observation changes how the performance effects of continuous feature innovation can be conceptualized. A natural expectation is that new features create a positive capability pathway while any failures accompanying their introduction constitute an offsetting reliability cost. We find instead that the two pathways can be complementary. New CRM feature use directly increases performance, but it also increases IT failure, which in turn positively affects performance. The mediation analysis shows that this indirect pathway is economically meaningful, accounting for approximately 22% of the total effect of feature use on conversion.

The implication is not that instability is inherently valuable. Rather, our results suggest that capability creation and disruption can be jointly produced by continuous digital innovation, and

both can become pathways through which innovation affects performance. This expands the theoretical treatment of continuous feature innovation beyond the question of whether newly introduced functionality is adopted and useful to include what happens when that functionality destabilizes the work system into which it is introduced.

IT Failure: From Reliability Loss to Recoverable Disruption.

Second, we contribute to research on IT reliability and failure by challenging the assumption that the performance consequence of failure is uniformly negative. Prior IS research provides strong reasons to regard reliability as a desirable property of information systems and failure as costly (Butler & Gray, 2006). At the organizational level, failures can destroy market value, require organizational responses, and interrupt technology-dependent operations (Bharadwaj et al., 2009; Triche & Walden, 2018). At the individual level, interruptions can impose attentional and performance costs (Addas & Pinsonneault, 2018). Our positive aggregate estimate for IT failure appears inconsistent with this conventional expectation.

The additional analyses suggest a way to reconcile these perspectives. What matters may not simply be whether technology fails, but whether the work interrupted by that failure remains recoverable. A failure during internal work can interrupt task execution without eliminating the underlying task opportunity. An agent whose attempt to record information fails can return to the record, reload the page, retry the action, and complete the work. The failure creates a disruption, but the worker retains an opportunity to respond to it. By contrast, a failure during customer-facing work can occur against an external clock. A failed communication with a waiting customer may compromise an interaction that cannot simply be recreated by retrying the same action later.

Our category-level decomposition is consistent with this distinction. Recording failures make the largest positive contribution to the aggregate failure effect, whereas failures involving customer-facing communication make the largest negative contribution. Because this decomposition is descriptive rather than causal, it should not by itself be interpreted as establishing recoverability as the causal moderator of failure's performance effect. However, the post-failure trace evidence provides an independent behavioral test of the proposed mechanism. Workers respond to internal-facing failures with greater retry, rapid reload, and faster resolution, whereas customer-facing failures are associated with rerouting, abandonment, and greater departure from routine. These behavioral differences are difficult to reconcile with a simple explanation in which highly engaged agents merely experience more failures and also perform better.

Together, these findings suggest a shift in the theoretical question surrounding IT failure. Rather than asking simply whether failure harms or improves performance, research should ask when disrupted work permits recovery and how workers respond when it does. We introduce recoverability as a useful organizing concept for answering that question. Failure may become

productive when it creates an interruption from which the worker can re-engage, adapt, and recover; it remains costly when the disruption compromises an opportunity that cannot readily be restored.

This perspective also connects IT reliability research to research on learning from failure. Sitkin (1992) argues that relatively small failures can generate learning when they are sufficiently bounded, permit rapid response, and occur in domains familiar enough to support interpretation. Digital work provides a setting in which such responses can be observed behaviorally. Retry, reload, recovery time, rerouting, and abandonment capture what workers actually do immediately after technology fails. The results suggest that the informational and adaptive consequences of failure depend importantly on the structure of the work in which the failure occurs.

Opening the Mechanism Between Technology Use and Performance.

Third, we contribute to research examining how technology use translates into measurable worker and organizational performance. Studies of technology-enabled work have established that technology use can improve individual productivity and performance, including in customer-facing work and, more recently, in settings involving generative AI (Ahearne et al., 2008; Brynjolfsson et al., 2025; Noy & Zhang, 2023). Yet an observed total performance effect does not reveal the mechanisms through which that value is produced. Our analysis opens this mechanism by decomposing the performance effect of feature use into a direct pathway and an indirect pathway operating through IT failure. This distinction matters because an analysis limited to the total effect would show that new CRM features improve conversion but would miss the counterintuitive process through which part of that improvement occurs. The causal mediation estimates show that the indirect effect through IT failure has the same sign as the direct effect: failure is a complementary mediator, not an offsetting cost.

More broadly, this finding illustrates why understanding the business value of digital innovation may require studying not only successful technology use but also the frictions generated during use. Some consequences conventionally classified as implementation or operational costs may interact with worker behavior in ways that alter the value ultimately realized from technology. The performance effects of digital innovation may therefore reside partly in workers' responses to imperfect technology, rather than solely in frictionless use of the capabilities that technology provides.

Implications for Practice

The findings also have implications for managers of continuously evolving digital platforms and for organizations that depend on those platforms for knowledge work. The most immediate implication is not that organizations should tolerate IT failure because failure improves performance. The

aggregate positive relationship masks important differences across types of work. Some failures appear compatible with recovery and productive re-engagement, while others coincide with abandonment and lost opportunities. Treating all failures as equivalent can therefore obscure where reliability matters most.

This suggests a more selective approach to reliability management. Conventional operational metrics often emphasize aggregate failure rates, uptime, error incidence, or time lost to failure. These measures remain important, but they may be insufficient for prioritizing reliability investments. Managers should also consider where in the workflow failures occur, whether the interrupted task can be recovered, and what workers do after the failure.

Failures occurring during customer-facing activities deserve particular attention. When a failure disrupts communication with a customer, the worker may be unable to recreate the interaction simply by retrying the task. Such failures can therefore threaten opportunities that are perishable. Reliability investments in customer-facing workflows may generate value not merely by reducing downtime, but by protecting interactions that cannot easily be recovered once disrupted.

Internal workflows present a different managerial problem. Our findings do not imply that firms should intentionally introduce failures into these activities. Rather, they suggest that the consequences of failures that do occur may depend on whether systems make recovery easy. Platform designers can therefore complement investments in failure prevention with investments in failure recovery. Preserving entered information, enabling rapid retry, maintaining workflow state, providing intelligible error feedback, and allowing workers to resume interrupted tasks may reduce the cost of unavoidable failures and potentially facilitate productive re-engagement.

The results also have implications for the management of continuous software releases. Vendors commonly face pressure to increase release velocity while maintaining reliability. Our findings suggest that the relevant managerial tradeoff may be more granular than a simple choice between innovation speed and system stability. Release and testing resources could be prioritized according to the recoverability of the workflows affected by a feature. New functionality touching customer-facing or otherwise time-sensitive activities may warrant particularly stringent testing and staged deployment, whereas failures in highly recoverable internal workflows may pose different operational risks.

Real-user monitoring data can support this more selective approach. The same behavioral traces used in our analysis—retry, reload, recovery time, rerouting, abandonment, and workflow deviation—could supplement conventional technical reliability measures. A failure followed immediately by successful retry conveys different operational information from an error followed by abandonment or termination of the session. Organizations can therefore evaluate failures not only by their technical incidence but also by their behavioral aftermath.

Taken together, these implications suggest a shift from pursuing reliability uniformly toward

managing the consequences and recoverability of failure. Organizations should continue to prevent failures, particularly where failures threaten nonrecoverable customer or business opportunities. But when some failures are unavoidable in continuously evolving digital systems, managers can also design technologies and workflows that help workers recover effectively when disruption occurs.

Boundary Conditions and Future Research

Several features of our study define important boundaries for these conclusions and opportunities for future research. The empirical setting is a single SaaS CRM platform used by insurance agents, and the work is characterized by repeated interaction with a familiar digital environment. These characteristics may be especially conducive to recovery because workers can draw on accumulated task and system knowledge when failures occur. Whether similar responses emerge in less familiar, more safety-critical, or more tightly coupled work remains an open question.

The distinction between internal-facing and customer-facing failure also provides evidence consistent with recoverability rather than a direct causal estimate of recoverability itself. The Shapley decomposition is descriptive, and the post-failure analyses identify behavioral patterns consistent with the proposed mechanism. Future research could directly manipulate or exploit exogenous variation in task recoverability to identify its causal role. Such research could examine whether recovery opportunities, task familiarity, time pressure, failure severity, or the reversibility of interrupted work determine when failure becomes productive or costly.

Future research could also distinguish more explicitly among different sources of failure. In our setting, failures arise from both system-side and user-side causes, and their distribution varies across task categories. Understanding whether workers learn differently from failures they attribute to themselves versus failures they attribute to the technology could further refine the recoverability mechanism. Similarly, repeated exposure to failure may eventually generate frustration or workarounds rather than productive adaptation, suggesting that the benefits associated with bounded, recoverable disruption may have limits.

Finally, the continuing evolution of digital platforms makes the relationship between innovation and reliability increasingly important. As organizations adopt systems that are updated continuously—and as increasingly complex and probabilistic technologies become embedded in work—the assumption that innovation can first be implemented and then stabilized becomes less tenable. Future research should therefore examine innovation and reliability as jointly evolving properties of digital work systems rather than as separate stages of technology implementation.

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Appendix

Table 1. Prior Studies of IT Failure, Interruption and Worker Response

Study	Construct examined	Unit	Mechanism
IT failure and firm value			
Bharadwaj et al. (2009)	IT failures and market value loss	Firm	Event study within a resource-based view
Benaroch and Fink (2021)	Board IT competence moderating market reaction to operational failures	Firm	Agency theory, governance reduces investor uncertainty
Najjar et al. (2022)	IS incident recovery and service value	Organization	Service-dominant logic, value co-created during recovery
ICT interruptions and performance			
Addas and Pinsonneault (2015)	Interruption taxonomy and individual performance	Individual	Attentional depletion and task-switching cost
Galluch et al. (2015)	ICT interruptions, stressors and strain	Individual	Stressor-strain model
Weinert et al. (2022)	Repeated interruption, habituation and sensitization	Individual	Conditioning theory, non-linear exposure response
Technostress			
Ragu-Nathan et al. (2008)	Technostress creators, job satisfaction and commitment	Individual	Transactional stress model with organizational inhibitors
Tarafdar et al. (2015)	Technostress and technology-enabled performance	Individual	Role theory and sociotechnical theory
Zhao et al. (2020)	Application-level stressors, appraisal, coping and productivity	Individual	Transactional theory of stress at the application level
Nastjuk et al. (2024)	Meta-analysis of technostress creators and outcomes	Individual	Synthesis of 102 studies
User coping and adaptation			
Beaudry and Pinsonneault (2005)	Four adaptation strategies from primary and secondary appraisal	Individual	Coping theory applied to IT events
Elie-Dit-Cosaque and Straub (2011)	Measures of system usage and user adaptation to disruptive IT	Individual	Coping model of user adaptation, tested in a two-by-two laboratory experiment
Pirkkalainen et al. (2019)	Proactive and reactive coping moderating technostress	Individual	Proactive versus reactive coping
Feng et al. (2024)	Intervention type by implementation phase and voluntariness	Individual	Coping extended with a time dimension

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Table 1. Prior Studies of IT Failure, Interruption and Worker Response (continued)

Study	Construct examined	Unit	Mechanism
Mattern et al. (2024)	Coping portfolios and strain levels	Individual	Requisite variety and coping repertoire breadth
System atrophy			
Tiwana and Safadi (2024)	System atrophy, bugginess and developer disengagement	System	Modularity dynamics
Tiwana and Safadi (2026)	System silence and generativity	System	Attention funnelling
Banker et al. (2021)	Technical debt in CRM systems and firm performance	Firm	Shortcuts compounding maintenance obligations
High-reliability organizing			
Butler and Gray (2006)	Reliable performance through mindfulness	Organization and individual	Routine-based versus mindfulness-based reliability
Aanestad and Jensen (2016)	Collective mindfulness in post-implementation adaptation	Organization	High-reliability organizing applied after implementation
Poláková-Kersten et al. (2023)	Tension between high-reliability identity and digital transformation	Organization	Identity threat producing self-protective behaviour in the IT workforce
Rinta-Kahila et al. (2023)	Skill erosion, dependency and vulnerability	Individual and organization	Vicious circle in which automation removes practice
IS business value			
Schryen (2013)	Systematic review of IS business value research	Firm	Bibliometric synthesis
Keramidis and Shollo (2026)	Value realization as enacted practice	Organization	Value-reflexive perspective
CRM control and the representation of work			
Vieira da Cunha et al. (2015)	Burden of representation under loose coupling	Individual and organization	Loose versus tight coupling of work and record

Table 2. Variables Description

Variable	Definition and construction
Technology use.	
New CRM Feature Use	A Saidin novelty-weighted index of an agent's engagement with newly released CRM features (Karahanna et al., 2019; Spetz & Maiuro, 2004): $\text{CRMSaidin}_{it} = \sum_k a_{kt}\, u_{kit}$, where u_{kit} is agent i's weekly click count on feature k, and $a_{kt} = 1 - \frac{1}{N}\sum_i A_{kit}$ is a time-varying novelty weight equal to the fraction of the N agents who have not yet adopted feature k by week t, with A_{kit} indicating adoption. Rare features receive high weight and widely adopted features near-zero weight; non-adopters contribute zero by construction. The feature set is itself time-varying, expanding with each platform-controlled release wave, and the weights are recomputed each week to reflect both the growing set and the evolving cross-agent adoption distribution.
New GenAI Use	A Saidin index on the same novelty-weighting logic, adapted to the fact that each GenAI release replaces the preceding vintage rather than adding to a cumulative stock, so only one vintage is active in any week. Let G_{it} be agent i's GenAI minutes in week t, $k(t)$ the vintage active in week t, and r_k the release week of vintage k. Then $G_{ikt} = G_{it}\,\mathbf{1}\{k = k(t)\}$, adoption is $A_{ikt} = \mathbf{1}\Big\{\sum_{s=r_k}^{t} G_{iks} > 0\Big\}$, the novelty weight is $a_{kt} = 1 - \frac{1}{N}\sum_i A_{ikt}$, and $\text{GenAISaidin}_{it} = \sum_k a_{kt} G_{ikt} = a_{k(t),t}\, G_{it}$. Adoption accumulates within a vintage and resets when the next begins, so the weight measures the novelty of the currently active release rather than of GenAI overall. Releases falling in the same ISO week form a single vintage bundle, effective from the next complete week.
Feature Breadth	The share of distinct platform workflow features accessed by agent i in week t — unique features visited, divided by the total distinct feature groups observed across all panel agents.
Platform Time	The total time agent i spends in the platform in week t, summed over the week's sessions: $\sum_{s\in S_{it}} d_{is}$, where d_{is} is session s's total duration and S_{it} is the set of agent i's sessions in week t.
	Session-level input / **Agent-week construction**
IT Failure	Within session s, F_{isk} is the set of tasks of category k that fail, d_j the time the agent spends on task j, and d_{is} the session's total duration. A task is recorded as failed when an error is logged against it, so the time spent on it yields no completed work. S_{it} is the set of agent i's sessions in week t. IT Failure enters estimation on the agent-weeks in which failure occurs, with an incidence dummy included as a control. / $\tau_{isk} = \frac{\sum_{j\in F_{isk}} d_j}{d_{is}}$; $M_{ikt} = \frac{1}{\lvert S_{it}\rvert}\sum_{s\in S_{it}} \tau_{isk}$; $M_{it} = \sum_{k=1}^{5} M_{ikt}$
Incidence of Failure	Any failure of a task by agent i in week t. / $D_{it} = \mathbf{1}$[agent i records at least one failed task in week t]

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Table 2. Variables Description (continued)

Variable	Definition and construction		
Performance. Sales performance is captured using conversion, the rate at which active later-stage deals resolve as successful policy purchases in a given agent-week, reflecting precision-oriented execution effectiveness at the point where deals close.			
	Deal-level input	**Agent-week construction**	**Theory**
Conversions	Let $\mathcal{D}_{it}$ denote the set of active deals for agent i in week t across both stages, and let N_{it} denote the number of later-stage deals that convert in week t.	$= N_{it} \,/\, \lvert\mathcal{D}_{it}\rvert$	
Portfolio characteristics. Each of these controls summarises the agent's active deal portfolio in the week as an average over the deals it contains. Let $\mathcal{D}_{it}$ denote agent i's set of active deals in week t. Because the agent manages early-stage and later-stage deals as a coupled system, the components carried at one stage remain a concurrent condition for performance at the other. Both complicatedness dimensions therefore enter at both stages.			
	Deal-level input	**Agent-week construction**	**Theory**
Product Complicatedness	p_d, the product category associated with deal d.	$= \lvert\{\, p_d \,:\, d \in \mathcal{D}_{it}^{s} \,\}\rvert$	Complicatedness captures the breadth of distinct components in an agent's deal portfolio, separated from complexity, which emerges through the form and dynamics of the interactions among those components (Benbya et al., 2020; Tanriverdi & Du, 2020; Tanriverdi et al., 2025). Let $s \in \{Q,\ C\}$ index the stage of the funnel, where Q denotes qualification-stage deals and C denotes conversion-stage deals; both dimensions are constructed at either stage from the same stage-specific deal set.
Customer Complicatedness	c_d, the customer segment associated with deal d.	$= \lvert\{\, c_d \,:\, d \in \mathcal{D}_{it}^{s} \,\}\rvert$	
Process activity burden	A_d, the cumulative number of transactions and activities recorded for deal d as it progresses through the CRM workflow.	$= \dfrac{\sum_{d \in \mathcal{D}_{it}} A_d}{\lvert\mathcal{D}_{it}\rvert}$	The empirical models also control for the average accumulated transaction and activity burden embedded in an agent's active deal portfolio.
Bundling intensity	B_d, the number of products linked to deal d.	$= \dfrac{\sum_{d \in \mathcal{D}_{it}} B_d}{\lvert\mathcal{D}_{it}\rvert}$	Cross-selling and promotional-bundling behavior is an established, distinct driver of conversion performance in the sales literature (Balachander et al., 2010; Schmitz et al., 2014). Bundling intensity proxies for this behavior.

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Table 2. Variables Description (continued)

Variable	Definition and construction		
Portfolio Value	V_d, the raw dollar value of deal d.	$= \frac{\sum_{d \in \mathcal{D}_{it}} V_d}{\lvert \mathcal{D}_{it} \rvert}$	Financial incentive structure is an established, direct driver of sales effort and performance in the compensation literature (Basu et al., 1985; Chung & Narayandas, 2017; Rao et al., 2021). Because compensation in this setting is commission-linked, portfolio value proxies for this incentive: higher-value portfolios imply higher potential earnings.
Portfolio Age	G_{dt}, the number of days elapsed since deal d's creation date, as of week t.	$= \frac{\sum_{d \in \mathcal{D}_{it}} G_{dt}}{\lvert \mathcal{D}_{it} \rvert}$	Deal-cycle velocity, the idea that deals remaining open longer are subject to different urgency and closing dynamics than recently opened ones, is an established construct in sales performance research (Fong & Waisman, 2025; Guesalaga & Kapelianis, 2015). Portfolio age proxies for this dynamic.
Portfolio Size	Deal d is active in week t.	$= \lvert \mathcal{D}_{it} \rvert$	Workload, the volume of concurrent work an individual manages, is an established driver of individual performance, both generally in the operations literature (Tan & Netessine, 2014; Xu et al., 2022) and specifically for sales conversion in the marketing literature on deal volume (Ahearne et al., 2025; Sabnis et al., 2013). Portfolio size proxies for this constraint.

Table 3. Where IT Failure Falls

Task Category	Share of incidence (%)	Share of failure time (%)	Agent-weeks affected (%)
(1)	(2)	(3)	(4)
Communicating	47.1	41.3	24.1
Recording	35.0	38.2	16.0
Integrating	11.5	15.4	11.4
Coordinating	4.4	2.6	4.3
Curating	2.1	2.5	2.4
Total	100.0	100.0	

Note. Failures total 2.67% of session time. Columns 2 and 3 are shares of that total on two bases: incidence counts disrupted task, failure time counts share of session time lost. Column 4 is the share of agent-weeks in which the group appears at all.

Table 4. Source of IT Failure

Task Category	System-caused (%)	User-caused (%)	Group total (%)
(1)	(2)	(3)	(4)
Communicating	30.9	10.4	41.3
Recording	0.5	37.7	38.2
Integrating	8.6	6.9	15.4
Coordinating	0.8	1.8	2.6
Curating	1.1	1.4	2.5
Total	41.9	58.2	100.0

Note. All entries are shares of total failure time. Columns 2 and 3 add across to column 4, which reproduces column 3 of Table 2. A category's internal composition is column 3 divided by column 4. Row and column totals may differ from their components by 0.1 owing to rounding..

Table 5. Mediation Pathway and Outcome Equations

	Failure		Conversion				
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
IT Failure					0.023**	0.034***	0.266**
					(0.011)	(0.012)	(0.118)
New CRM Feature Use	-0.022**	0.248***		0.018**	0.019**	0.291***	0.235***
	(0.008)	(0.074)		(0.009)	(0.009)	(0.088)	(0.085)
Incidence of Failure			0.025	0.026	0.023	0.025	0.001
			(0.018)	(0.018)	(0.017)	(0.018)	(0.022)
New GenAI Use	-0.016	-0.018	0.013	0.013	0.013	0.011	0.015
	(0.011)	(0.014)	(0.009)	(0.010)	(0.009)	(0.012)	(0.011)
Portfolio Size	-0.018	-0.019	0.387***	0.387***	0.387***	0.386***	0.391***
	(0.024)	(0.027)	(0.044)	(0.044)	(0.044)	(0.043)	(0.043)
Portfolio Age	0.034**	0.034**	-0.442***	-0.441***	-0.442***	-0.442***	-0.451***
	(0.014)	(0.015)	(0.031)	(0.031)	(0.031)	(0.031)	(0.031)
Portfolio Value	-0.020	-0.028*	0.218***	0.217***	0.218***	0.210***	0.217***
	(0.015)	(0.017)	(0.029)	(0.029)	(0.029)	(0.031)	(0.030)
Bundling intensity	0.003	0.014	0.136***	0.137***	0.137***	0.148***	0.146***
	(0.022)	(0.024)	(0.038)	(0.038)	(0.038)	(0.038)	(0.036)
Process activity burden	-0.006	-0.009	0.236***	0.236***	0.236***	0.234***	0.235***
	(0.007)	(0.007)	(0.015)	(0.015)	(0.015)	(0.015)	(0.015)
Product Complicatedness (Conversion-Stage)	-0.003	-0.009	0.448***	0.447***	0.447***	0.440***	0.442***
	(0.017)	(0.018)	(0.035)	(0.035)	(0.035)	(0.036)	(0.035)
Customer Complicatedness (Conversion-Stage)	0.007	0.006	0.151***	0.151***	0.151***	0.149***	0.148***
	(0.015)	(0.016)	(0.029)	(0.029)	(0.029)	(0.030)	(0.029)
Product Complicatedness (Qualification-Stage)	0.010	-0.011	0.021	0.019	0.019	-0.002	-0.000
	(0.023)	(0.029)	(0.036)	(0.036)	(0.036)	(0.037)	(0.036)
Customer Complicatedness (Qualification-Stage)	-0.017	-0.022	0.037	0.037	0.037	0.032	0.037
	(0.025)	(0.026)	(0.049)	(0.049)	(0.049)	(0.046)	(0.045)
Feature Breadth	-0.031***	-0.130***	-0.030***	-0.037***	-0.036***	-0.136***	-0.105***
	(0.009)	(0.029)	(0.011)	(0.012)	(0.012)	(0.035)	(0.035)
Platform Time	0.045***	-0.000	0.027*	0.024	0.023	-0.023	-0.017
	(0.012)	(0.017)	(0.015)	(0.015)	(0.015)	(0.021)	(0.021)
Constant	-0.004	—	0.737***	0.737***	0.738***	—	—
	(0.003)		(0.008)	(0.008)	(0.008)		
Observations	16,408	16,408	16,408	16,408	16,408	16,408	16,408
Agent FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Week FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Adj R-sq	0.172	-0.131	0.674	0.675	0.675	0.452	0.450
Model F-statistic	4.001	3.257	195.122	181.380	170.082	163.104	169.381

	Failure		Conversion				
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Kleibergen–Paap rk LM	—	62.980***	—	—	—	63.532***	79.970***
Cragg-Donald Wald F	—	159.400***	—	—	—	162.932***	65.936***

Note. Clustered standard errors. *** p<0.01, ** p<0.05, * p<0.1. First-stage coefficients are omitted for space and available on request.

Table 6. Causal Mediation Results

	(1)
b-path: IT Failure → Performance	0.266**
	(0.127), [0.023, 0.509]
a-path: New CRM Feature Use → IT Failure	0.248***
	(0.076), [0.126, 0.419]
ACME:	0.066**
	(0.037), [0.006, 0.152]
ADE:	0.235***
	(0.089), [0.054, 0.402]
ATE:	0.300***
	(0.089), [0.137, 0.493]

Note. *** p<0.01, ** p<0.05, * p<0.10 (normal-approximation). Bootstrap SE in parentheses; BC 95% CI in brackets

Figure 1. Shapley Decomposition of the Aggregate IT-Failure Effect

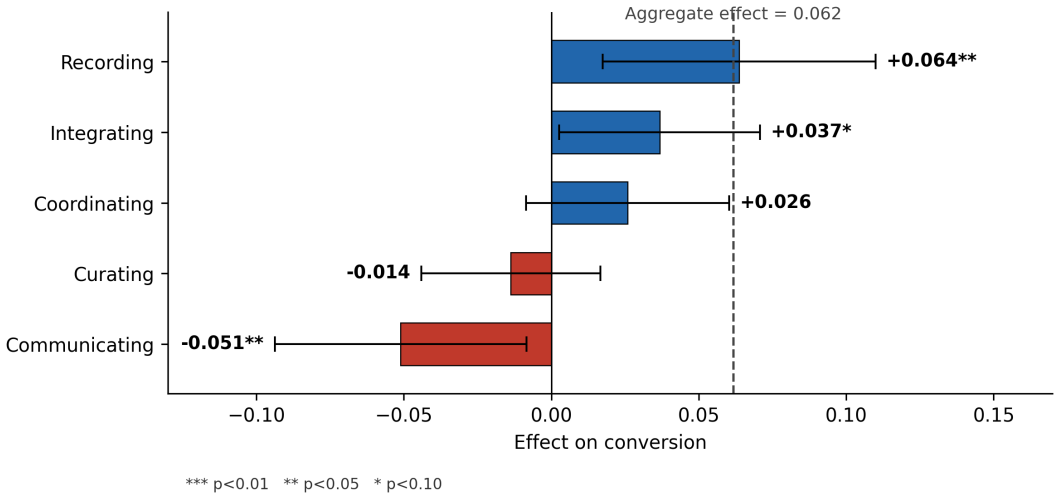


Table 7. IT Failure and Post-Failure Behavior

	Page retry	**Short reload**	**Recovery time**	**Reroute rate**	**Abandonment**	**Workflow deviation**
	(1)	(2)	(3)	(4)	(5)	(6)
Internal-facing failure	0.069***	0.106***	−0.319***	0.019	0.549***	0.328***
	(0.021)	(0.022)	(0.039)	(0.039)	(0.050)	(0.048)
Customer-facing failure	−0.025	0.003	−0.132***	0.659***	0.916***	1.291***
	(0.026)	(0.026)	(0.049)	(0.057)	(0.067)	(0.063)
Difference	**0.094*** **	**0.103*** **	**−0.187*** **	**−0.640*** **	**−0.367*** **	**−0.964*** **
p (difference)	0.007	0.004	0.001	<0.001	<0.001	<0.001
Observations (agents)	12,094	12,094	6,489	12,094	12,094	12,094
	(571)	(571)	(529)	(571)	(571)	(571)

Note. Each column is a separate OLS regression of a standardized post-failure behaviour on the two failure-bloc measures. Internal-facing pools coordinating, recording and integrating; customer-facing pools curating and communicating. Columns 1–2 measure persistence, columns 3–6 disengagement or delay. Difference is the internal-facing coefficient minus the customer-facing coefficient, both estimated in the same regression, and its p-value is a Wald test of their equality. Column 3 is estimated only on agent-weeks in which a failure occurred. *** p<0.01, ** p<0.05, * p<0.10.